

9:00 AM

Line 7

26-CIV-05127 ANCHORCRAFT CO. VS. WAVE2WAVE SOLUTION CORPORATION, ET
AL

ANCHORCRAFT CO.
WAVE2WAVE SOLUTION CORPORATION

J. CRAIG CRAWFORD
AARON M. LEVINE

Plaintiff's Application for Right to Attach Order and Order for Issuance of Writ of Attachment

TENTATIVE RULING:

Plaintiff Anchorcraft Co.'s Application for Right to Attach Order and Order for Issuance of Writ of Attachment is DENIED, as follows:

Evidentiary Objections

Defendants object to portions of the Crandon Decl. and Supp. Crandon Decl. in support of Plaintiff's Application. Defendants' objections No. 39 and 43 are SUSTAINED based on hearsay pursuant to Evidence Code section 1200. Defendants' remaining evidentiary objections are OVERRULED.

Writ of Attachment

Before the court can reach the issue of whether a writ of attachment should issue, a plaintiff must establish that the underlying claim is one upon which attachment may issue. Under the applicable statute, attachment is available only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount is a fixed or readily ascertainable amount not less than \$500, exclusive of costs, interest, and attorney's fees. (Code Civ. Proc. section 483.010 subd. (a).)

Once the plaintiff has established that a claim qualifies for attachment, the court must find all four of the following elements before issuing a right to attach order: (1) the claim upon which the attachment is based is one upon which an attachment may be issued; (2) the plaintiff has established the probable validity of the claim upon which the attachment is based; (3) the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based; and (4) the amount to be secured by the attachment is greater than zero. (Code Civ. Proc. section 484.090 subd. (a).) These four requirements are mandatory prerequisites to issuance of a writ. (*California Retail Portfolio Fund GMBH & Co. KG v. Hopkins Real Est. Grp.* (2011) 193 Cal. App. 4th 849, 122 Cal. Rptr. 3d 614; *Park v. NMSI, Inc.* (2023) 96 Cal. App. 5th 346, 314 Cal. Rptr. 3d 306.)

Probable validity is the most substantively demanding element of the analysis, and essentially equates to a preponderance of the evidence standard in which "it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (Code Civ. Proc. section 481.190.) The burden of establishing probable validity falls squarely on the plaintiff. (*Park v. NMSI, Inc.* (2023) 96 Cal. App. 5th 346.) Courts assess this based on the pleadings and other papers in the record, though upon good cause shown, the court may also receive and consider additional oral or documentary evidence at the hearing. (Code Civ. Proc. section 484.090.) On appeal, a trial court's finding on whether a plaintiff established probable validity is reviewed for substantial evidence. (*Santa Clara Waste Water Co. v. Allied World Nat'l Assurance Co.* (2017)18 Cal. App. 5th 881.)

When a dispute is subject to ongoing arbitration, California requires an additional showing beyond the standard attachment requirements. Parties to arbitration proceedings may obtain a writ of attachment or other provisional remedy in connection with an arbitrable controversy only upon the ground that "the award to which the applicant may be entitled may be rendered ineffectual without provisional relief." (Code Civ. Proc. section 1281.8 subd. (b).) This ineffectual relief requirement can be satisfied by showing either insolvency or the inability to pay damages, as these constitute classic types of irreparable harm. (*California Retail Portfolio Fund GMBH & Co. KG v. Hopkins Real Est. Grp.* (2011) 193 Cal. App. 4th 849.) Insolvency in this context is defined as either an excess of liabilities over assets or the inability to meet obligations as they mature in ordinary business course, with the second definition being the preferred one where there is no statutory definition. (*Id.*, at 859-860, citing *Stark v. Shaw* (1957) 155 Cal.App.2d 171, 179.)

Claim on Which Attachment May Issue

Plaintiff's claim is a commercial money claim under an express written contract and is unsecured. (Crandon Decl., ¶30, Exh. 1.) The claim is therefore one on which attachment may issue.

Probable Validity of Plaintiff's Claim

The parties entered into an Asset Purchase Agreement (the "APA") on August 4, 2025 relating to Defendant's structured-cabling business with Defendant Wave2Wave Solution Corporation as to Seller and Plaintiff Anchorcraft Co. as the Buyer. (Crandon Decl., ¶3, Exh. 1.) Plaintiff alleges that from September 2025 through early February 2026, Wave2Wave remitted approximately \$624,721.11, reconciled through a "Master Invoice Spreadsheet" maintained by Wave2Wave's outside bookkeeper. (Complaint, ¶¶22-23; Crandon Decl., ¶¶5-6.) Plaintiff further alleges that after Wave2Wave terminated the bookkeeper, with the last spreadsheet update on February 8, 2026, remittances largely stopped. (Complaint, ¶25; Crandon Decl., ¶7.) Plaintiff's CEO and majority shareholder Mark Crandon declares that \$645,443.25 remained unremitted as of June 23, 2026, corresponding to 117 specific invoices documented by customer, purchase order, invoice number, amount, California sales tax, net amount due, payment-receipt evidence, and receipt date, plus \$21,275.92 in interest. (Crandon Decl., ¶¶11-12.)

Defendants oppose the Application on three grounds: that Anchorcraft has not shown an award would be ineffectual absent attachment, that the application lacks admissible evidentiary support, and that Anchorcraft cannot establish probable validity.

Defendant's central defense regarding the probable validity of Plaintiff's claims is that under the terms of the APA, a Post-Closing Reconciliation was effectively a condition precedent to Defendant's duty to remit payment. The probable validity of Plaintiff's claim therefore turns on whether the joint reconciliation term contained at section 2.15 of the APA is a condition precedent to Wave2Wave's duty under section 2.9(2) to remit received customer payments. Section 2.9(2) states "A/R and A/P for work or sales occurring after the Closing Date shall be the responsibility of the Buyer." (See Crandon Decl., ¶3, Exh. 1.) That language does not condition remittance of payment on reconciliation, and instead assigns post-closing receivables to the Buyer. Based on the plain language of the contract, Plaintiff is more likely than not to obtain a judgment on the claim.

Award Ineffectual Without Provisional Relief

Plaintiff Anchorcraft Co. and Defendant Wave2Wave Solution Corporation are parties to an arbitration which was initiated on June 25, 2026 with the American Arbitration Association. (McCauley Decl., ¶2.) Before a writ of attachment may issue, Plaintiff must therefore show that the award to which the Plaintiff may be entitled may be rendered ineffectual without provisional relief. (Code Civ. Proc. section 1281.8 subd. (b).) In support of a finding that an award would be ineffectual without provisional relief, Plaintiff relies primarily on a text message which states: "reviewing the sales tax within invoices today and I will work on the payment schedule to you right after. Sorry for the delay, we are a bit tight this month." (Crandon Decl., ¶¶15-16, Exhs. 8-9.) While this text message is subject to various interpretations, it is not conclusive. In contrast, Defendants provide a declaration from Defendant Wave2Wave's CEO that "Wave2Wave regularly generates substantial annual revenue and maintains assets and resources sufficient to meet its ordinary business obligations" and "continues to pay vendors, employees, contractors, and other obligations in the ordinary course of business." (Wang Decl., ¶25.)

On this record, Plaintiff has not demonstrated that an award may be ineffectual without provisional relief. The Application is accordingly DENIED.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

10:00 AM

Line 8

25-CIV-07292 MARIO FAUSTO, ET AL VS. OLGA ALEXANDER, ET AL

MARIO FAUSTO
OLGA ALEXANDER

PRO SE
YANG WENYAO

Defendants Ole Ventures, Inc and Ole Travel, Inc.'s Motion to Quash Service of Summons (C.C.P. § 418.10 and to Set Aside Entry of Default (C.C.P. §§ 473(b), 473(d), 473.5)

TENTATIVE RULING:

Defendants Ole Ventures, Inc and Ole Travel, Inc.'s Motion to Quash Service of Summons and to Set Aside Entry of Default are GRANTED in part and DENIED in part.

Summary of Facts

Per the Court's registry, this action was initiated on September 17, 2025 (Complaint, filed /17/2025), with a First Amended Complaint ("FAC") then filed on December 10, 2025 (FAC, filed 12/10/2025). On April 14, 2026, Plaintiff filed four separate Proofs of Service ("POS") of Summons on corporate Defendants Ole Ventures, Inc., Ole Travel, Inc., and two individuals who are not part of this motion. POS's filed 4/14/2026)

Both of the POS on the corporate defendants are largely identical; to wit, they claim service upon Patricia Tregear as Agent for Service for both corporate defendants on March 11, 2026, both by substitute service on a "Jane Doe" with description attached, and with box 5.b.(1) marked which reflects service on "a person at least 18 years of age apparently in charge at the office of usual place of business of the person to be served. as a person apparently in charge. I informed him or her of the general nature of the papers." POS's filed 4/14/2026. Both POS's are signed by Donald Schlipp a registered process server, Registration No. 496 in San Mateo County. *Id.* The address listed on both POS, is "44 Visitacion Ave. 200 Brisbane, CA 94005." *Id.* On April 30, 2026, defaults were then entered against both corporate defendants.

Legal Discussion

When a defendant challenges the court's personal jurisdiction on the ground of improper service of process, the burden is on the plaintiff to prove the facts establishing effective service. *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413. Evidence Code Section 647 also provides:

The return of a process server registered pursuant to Chapter 16 (commencing with Section 22350) of Division 8 of the Business and Professions Code upon process or notice establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return.
